

Australian Labour Market Stress Index

Monitoring labour market pressure across Australian industries and states — an executive analytical memo

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3

STATES
ANALYSED

6

INDUSTRIES
COVERED

1,187

OBSERVATIONS

65.84

PEAK LMSI
SCORE

Executive Summary

ABOUT THE LMSI

A composite indicator designed to monitor labour market pressure across industries and states using publicly available ABS data — combining vacancy intensity, wage pressure, and labour tightness into a single comparable score.

HEADLINE INSIGHT

Labour markets have eased in volume — not in cost.

Vacancy pressure has fallen 37% since the 2023Q1 peak, but wage pressure remains structurally elevated across most sectors. The labour market has transitioned from a recruitment crisis to a retention challenge.

Five Key Findings

1

Accommodation leads stress

Most-stressed sector across all three states in 2026Q1 — LMSI 44.1 in Queensland.

2

Wage pressure dominates

85% of all observations are wage-driven. The market is competing on compensation, not headcount.

3

Health Care is structurally tight

The tightness metric reveals genuine workforce scarcity — not a cyclical demand spike.

4

Stress has fallen by a third from peak

The highest observed LMSI has fallen by one-third since the 2023 peak.

5

Methodology evolution strengthened validity

Upgrading the tightness metric reduced component overlap from CORR 0.85 to 0.52, confirmed by rank-stability testing.

PEAK LMSI

65.84

CURRENT LEADER
(QLD Accommodation)

44.1

PEAK SECTOR

Prof. Services

DOMINANT DRIVER

Wage Pressure

KEY TAKEAWAY

The shift from vacancy-driven to wage-driven stress is the defining feature of the post-COVID labour market.

Where Is Labour Market Stress Highest?

EXECUTIVE INSIGHT

Queensland records above-average stress in four of six industries, led by Accommodation & Food Services at 44.1 — the highest score in 2026Q1.

2026Q1 Stress Heatmap — State × Industry

	Health	Constr.	Prof.	Educ.	Accomm.	Manuf.
New South Wales	35.2	24.8	26.6	20.4	38.8	27.3
Victoria	38.3	26.1	29.0	19.9	42.7	26.1
Queensland	37.7	28.1	36.8	23.5	44.1	34.4

Amber cells indicate the highest-stress observations. Scale: 0–25 Low · 25–45 Moderate · 45–60 High · 60+ Critical.

Top 5 Sectors — 2026Q1

Rank	State	Industry	LMSI	Band
1	Queensland	Accommodation and Food Services	44.08	Moderate
2	Victoria	Accommodation and Food Services	42.65	Moderate
3	New South Wales	Accommodation and Food Services	38.81	Moderate
4	Victoria	Health Care and Social Assistance	38.30	Moderate
5	Queensland	Health Care and Social Assistance	37.69	Moderate

Education and Training consistently records the lowest observed labour market stress across all three states, remaining within the Low stress band.

Demand, Wages, or Scarcity?

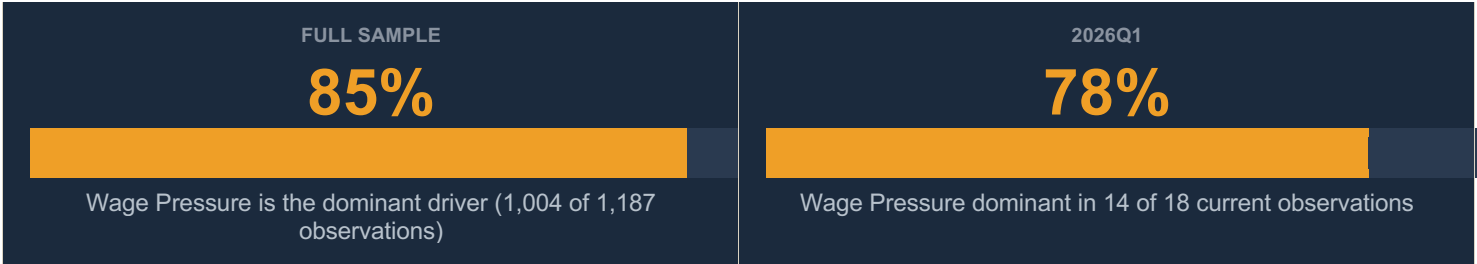
EXECUTIVE INSIGHT

Labour market stress has shifted from a recruitment problem to a retention problem. Employers are competing on compensation, not headcount.

The Three Components

Vacancy Intensity — 40% Hiring demand relative to workforce size.	Wage Pressure — 30% Compensation growth signalling recruitment competition.	Labour Tightness — 30% Vacancies relative to unemployed — genuine scarcity.
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Dominant Driver Analysis



Accommodation vs Health Care — Two Different Problems

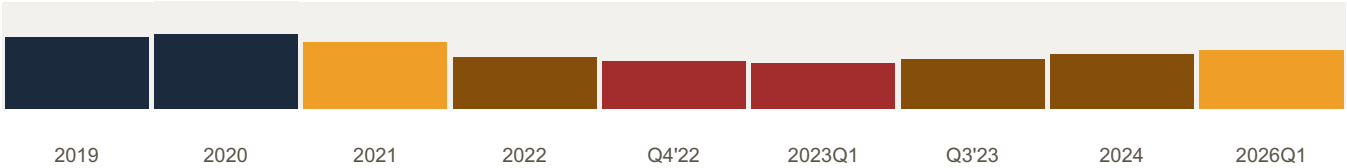
Accommodation & Food Services Vacancy Intensity contributes 54% of the score — a cyclical recruitment-side challenge.	Health Care & Social Assistance Labour Tightness contributes 22% of the score, double Accommodation's share — structural scarcity, not a cyclical spike.
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From Pre-COVID Baseline to Today

EXECUTIVE INSIGHT

Headline LMSI has fallen by one-third since the 2023 peak, driven primarily by a 37% decline in Vacancy Intensity.

LMSI Trend — Queensland Accommodation, 2019–2026



KEY TAKEAWAY

Labour demand normalised faster than labour costs.

Key Milestones

Period	Development
2009–2019	Pre-COVID baseline — LMSI consistently in the Low band across all sectors and states
2020–2021	COVID disruption — initial demand collapse followed by sharp rebound as restrictions eased
2023Q1	Historical peak — LMSI 65.84, Queensland Professional Services, Critical band
2026Q1	Current state — Moderate band across most sectors, led by Accommodation at 44.1; Education remains in the Low band

Peak vs Current — Queensland Accommodation

Component	2023Q1 Peak	2026Q1 Current	Change
Vacancy Intensity	40.00	25.08	-37%
Wage Pressure	17.31	15.58	-10%
Labour Tightness	7.72	3.42	-56%
LMSI Total	65.02	44.08	-32%

What Should Decision Makers Do?

EXECUTIVE INSIGHT

Three sectors require targeted action. Structural workforce scarcity in Health Care and persistent wage competition in Accommodation demand different policy responses.

Priority Action Matrix

#	Sector	Highest Observed LMSI (2026Q1)	Driver	Recommended Action
1	Accommodation & Food	44.1	Wage Pressure	Migration targeting · Wage agreement review · Seasonal workforce strategy
2	Health Care	38.3	Labour Tightness	Skilled migration pathways · Domestic training pipeline · Retention incentives
3	Professional Services	36.8	Wage Pressure	Wage benchmarking · Graduate pipeline · Monitor tightness ratio

Observation → Interpretation → Recommendation

1. Accommodation & Food Services

OBSERVATION	INTERPRETATION	RECOMMENDATION
Stress remains highest despite a 37% decline from peak.	The sector has shifted to a wage-driven profile — a retention problem, not a recruitment one.	Prioritise wage agreement reviews and seasonal migration pathways.

2. Health Care & Social Assistance

OBSERVATION	INTERPRETATION	RECOMMENDATION
Labour Tightness contributes 22% of score — double the Accommodation share.	This is structural workforce scarcity, not a cyclical demand spike.	Expand skilled migration pathways and domestic training pipelines.

3. Professional, Scientific & Technical Services

OBSERVATION	INTERPRETATION	RECOMMENDATION
Held the historical peak LMSI (65.84) in 2023Q1 — now moderating to 30.8.	Wage pressure persists above pre-pandemic levels despite cyclical easing.	Wage benchmarking and continued monitoring of the tightness ratio.

How the Index Was Built

A reproducible, QA-validated pipeline transforms raw ABS data into a normalised composite score, supported by an iterative methodology upgrade that improved methodological robustness.

Pipeline

ABS Raw Data	Python ETL	PostgreSQL	Excel Model	Power BI
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Four ABS datasets · EQ06, Job Vacancies Table 4, WPI Table 5b, UQ2b · All data publicly available

Composite Index Construction

1. Vacancy Intensity (40%) — vacancies / employed, normalised 0–100
2. Wage Pressure (30%) — WPI year-on-year % change, normalised 0–100
3. Labour Tightness (30%) — vacancies / unemployed, normalised 0–100
4. All components normalised using min-max scaling across the full historical sample to preserve comparability over time

Validation

Zero missing values across 1,187 observations	Zero duplicate joins confirmed in pipeline QA
CORR(Vacancy, Tightness) reduced from ~0.85 to 0.52	Top-3 ranking stable across 5 weighting scenarios

Key Limitations

- Job vacancies and WPI are published at the national industry level only — state differences reflect workforce-size allocation, not direct state-level demand
- UQ2b unemployment is recorded by industry of last job, not current job-seeking sector — used transparently as the best available ABS proxy
- Component weights are analytically assigned and should be interpreted as a composite framework rather than causal estimates